



 **BioCatch** | **Report**

2026

DIGITAL BANKING FRAUD TRENDS IN THE U.S.

BioCatch report on the current
and future digital fraud
landscape in the U.S.

August 2026



About this report

This report offers a comprehensive perspective on the current threat landscape and banking fraud trends in the U.S.

To create this report, BioCatch's team of experts – led by its global fraud intelligence team and supported by its local advisory and threat analytics teams – conducted extensive research, compiling proprietary BioCatch data from 292 financial institutions in the U.S. serving a combined more than 280 million users.

The fraud landscape in the U.S. continues to evolve, with criminals increasingly relying on impersonation, social engineering, and credential compromise. Check fraud and account takeover attacks are continual threats across financial institutions.

Artificial intelligence is accelerating this evolution, enabling more sophisticated scams that leverage deepfakes, synthetic identities and psychological manipulation of legitimate account holders.

This report is presented in the following sections:

- Current threat landscape in the U.S.
- Behavioral deep dive
- Foreign fraud: Where is America's money going?
- The biggest banks aren't always the biggest targets
- Account takeover: A growing threat
- Case study: Remote access-enabled cross-platform ATO

Current threat landscape in the U.S.

78%

of U.S. banking leaders report increasing fraud attempts at their institution

2.3x

increase in attempted impersonation scams

44%

increase in attempted job scams

1.5x

increase phishing attempts

Trends

More than three-fourths (78%) of U.S.-based participants in BioCatch's global industry survey, *The future of digital trust*, report increasing fraud attempts at their organization, while 64% say fraud losses at their institution are also increasing.

Job scam attempts increased by 44% among BioCatch's U.S. customers in the last year. Typically, job scam victims receive and respond to unsolicited communications offering simple online work via social media or instant messaging applications. After pretending to hire their victims for a legitimate opportunity, fraudsters will request personal details including social security numbers and photo IDs, which, if shared, can result in identity theft.

Impersonation scam losses in the U.S. more than doubled between 2025 and 2026, with fraudsters commonly posing as representatives of legitimate organizations and conning victims into sending them money under a range of false pretenses.

BioCatch's U.S. customers also reported a 50% increase in phishing attempts in the past year. Phishing often provides the foundation for credential theft, with harvesting links distributed via social media, messaging apps, and email – increasingly at great scale, with AI integration enabling more personalized materials aimed at potential victims.

The costliest scam types in the U.S.



Investment scams:

\$46 million in reported attempted losses

Although they represent a smaller share of overall fraud attempts, investment scams have emerged as the costliest fraud type in the U.S. Fraudsters promise high returns on cryptocurrency, forex, and commodities investments, using spoofed websites and fraudulent broker platforms to create a false sense of legitimacy.



Purchase scams:

\$28 million in reported attempted losses

Online marketplaces have become a hub for counterfeit listings and brand impersonations, with AI-generated content facilitating increasingly convincing fake storefronts and deepfakes. Fraudsters typically advertise high-demand goods at prices well below the market average and employ urgency tactics such as flash sales and low-stock alerts to force impulse purchases from unsuspecting buyers.



Law enforcement/legal scams:

\$22 million in reported attempted losses

Government and law enforcement scams typically transpire via email and/or phone calls, with fraudsters using spoofing technology to appear as representatives of legitimate agencies. To increase perceived legitimacy, fraudsters provide fictitious badge numbers and use official agency letterheads. They threaten to arrest account holders if those account holders don't they don't pay fines, demanding payment through untraceable methods such as gift cards.

Behavioral deep dive

Drilling into the data from our American customers a little further, we unearth the following trends:



45%

increase in active RAT sessions



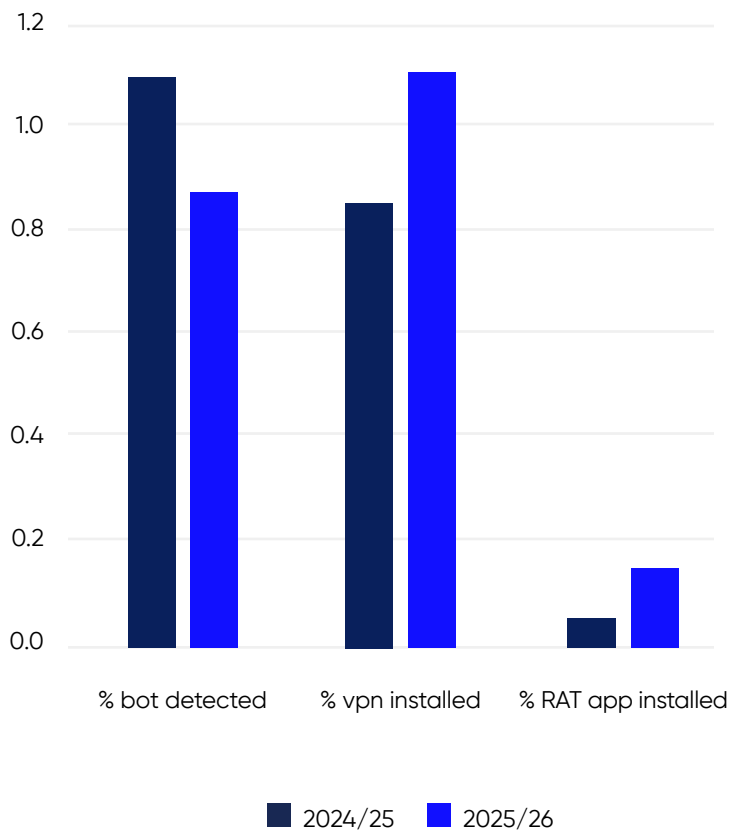
34%

increase in on-call sessions



28%

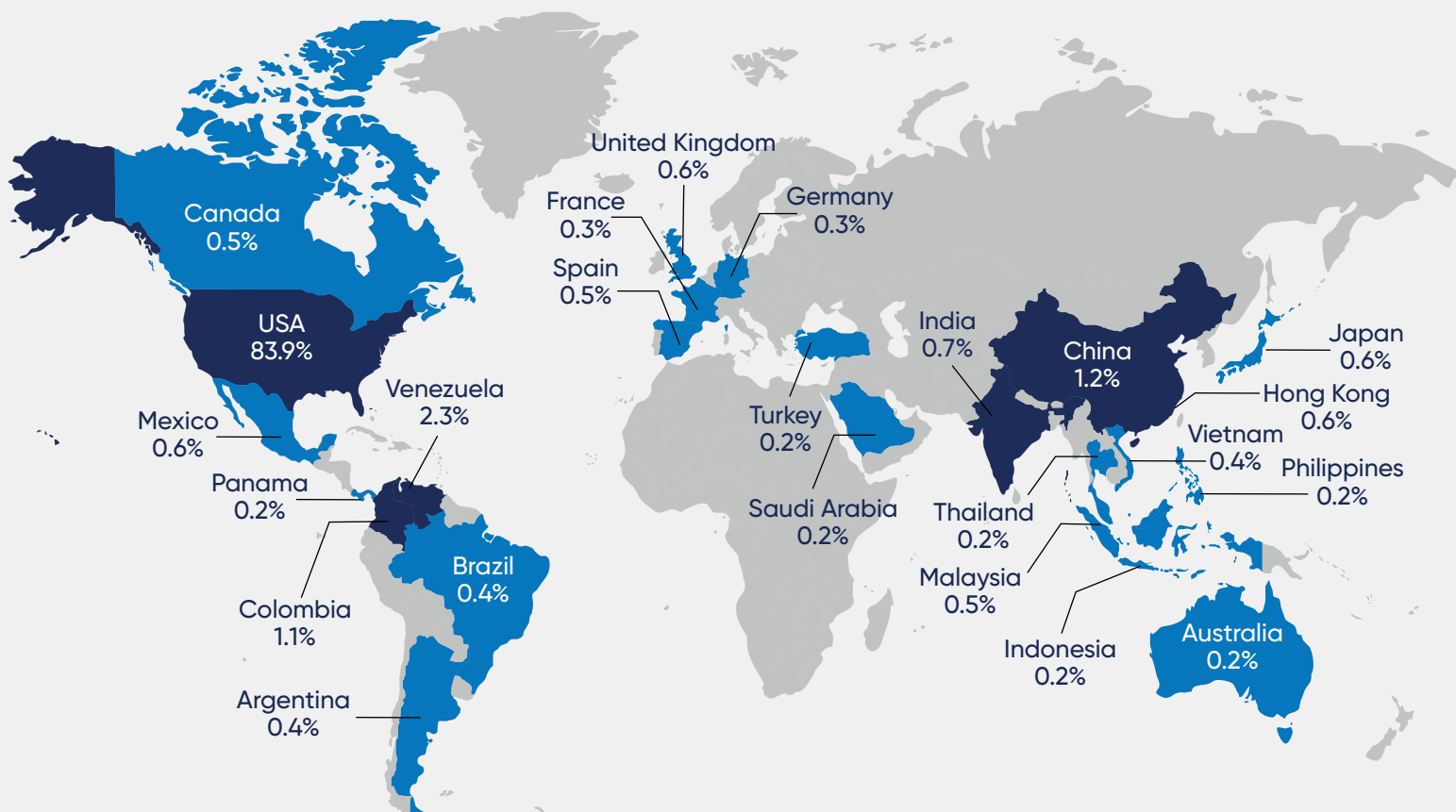
increase in fraud sessions where money was sent to a new payee



Session trends

- Remote access sessions increased significantly in the U.S. in the last year, granting fraudsters unauthorized access to banking applications, email services, and other sensitive victim information. Once a remote access trojan (RAT) has taken hold, every subsequent authenticated browser session is then accessible to the fraudster, who retains this access even following password changes or enabling of multi-factor authentication.
- Digital banking sessions where the user is on an active phone call while interacting with the bank's platform also increased significantly in the U.S. in the last year, as fraudsters continued to pivot from credential theft to the coaching of potential victims over the phone.
- Increases in new payee sessions are inherently high-risk as they break historical account behaviors. Under the guidance of a fraudster, victims are convinced they need to urgently move funds – an action more likely to go undetected by legacy fraud controls as it is the genuine account holder authorizing the transaction.
- While our U.S. customers have reported the detection of fewer bots in the last year, reports of VPN and RAT applications on devices used to access digital banking sessions have increased. We should note there are genuine use cases for both application types, with VPNs becoming more popular among those looking to protect their personal information or stream region-locked video content.

Foreign fraud: Where do U.S. fraud sessions originate?*



BioCatch geolocation data shows where fraudulent sessions originate – whether those sessions are conducted by a fraudster or a genuine user under the direction of a scammer. Analysis of fraud sessions reported by BioCatch customers in the U.S. between June 2025 and May 2026 shows 83.9% of fraud attempts (worth \$1.4 billion in would-be losses) originated from devices located in-country – likely due to the continued increase in social engineering scams, where scammers (located anywhere in the world) manipulate victims into legitimately authorizing scam transactions.

The remaining 16.1% of fraud sessions, representing \$263 million in attempted losses, originated across 186 countries. International activity was concentrated in several regions. Latin America accounted for a significant share, consistent with the region's well-documented fraud networks and cryptocurrency cash-out infrastructure that criminal organizations often use to move illicit funds. Criminal organizations operate directly from LATAM to exploit local resources, conducting localized fraud operations. Because they operate from physical locations within the region rather than using VPNs or proxies to mask their activity, the geolocation data reflects actual operator locations.

**Based on BioCatch IP address data. Countries not highlighted accounted for less than 0.1% of total reported fraud.*



Sharell Barshishat

Global advisory director for North America

The scam epidemic will be solved between banks, not within them

The scam epidemic in the United States keeps growing, and every serious projection sees that growth continuing. Americans reported a record \$15.9 billion in fraud losses to the FTC in 2025, an increase of roughly 27% in a single year. Investment scams alone accounted for nearly \$8 billion in losses. Those figures reflect only the losses Americans reported. The FBI estimates as much as 85% of fraud in the United States still goes unreported.

Americans remain the primary target for scam operations worldwide – from romance and investment rings operating out of industrial-scale compounds in Southeast Asia to impersonation crews spoofing bank phone numbers from anywhere with an internet connection. Scam attempts and losses continue to increase every year, as criminals adapt faster than any single institution can respond.

The industry has begun to confront an uncomfortable reality: No bank can identify a scam by looking at only its own customers. The entire authentication stack, including step-up challenges, one-time passcodes, device binding, and physical biometrics, was built to answer one question: Is this person the legitimate account holder? In a scam, the answer is almost always yes. Victims log in from their own trusted devices, pass every challenge, and authorize the payment themselves, often while a criminal posing as a representative from the bank's fraud department guides them through every step on every screen they encounter.

The sending bank sees a trusted customer making an authorized payment. The receiving bank sees a deposit into an account it may have little reason to suspect is a mule account. Each institution holds only part of the story, and the scam succeeds in the space between them. Add real-time payment rails, where funds sent over Zelle, RTP, or FedNow disappear in seconds, and that gap becomes a superhighway.

This is why scams require a fundamentally different response than card fraud. Banks largely solved card fraud within their own four walls by using rules and models trained on their own transactions. Scams don't work that way. Scam proceeds leave the victim's account and then travel through a network of mule accounts located at a variety of external institutions. The intelligence that could stop the payment often already exists, but it exists at a different bank.

With mule networks becoming more organized, proactive detection will depend on connecting behavioral, device, and network intelligence in real time.

The legal framework has existed since 2001. Section 314(b) of the USA PATRIOT Act gives financial institutions a safe harbor to share information about suspected money laundering and the specified unlawful activities connected to it, including fraud. FinCEN has repeatedly encouraged broader use. In practice, however, most 314(b) activity remains slow, manual, and reactive, consisting of an email after the money is gone, answered days later. This is useful for filing a Suspicious Activity Report (SAR) but of no value to the victim. That approach made sense when payments settled overnight. It does not fit in a world where payments settle in five seconds.

The industry now needs real-time, interbank, behavior-based intelligence sharing, and forward-looking institutions have already begun moving in that direction. Shared mule account registries remain valuable, but they are only part of the solution. Banks also need behavioral signals that reveal a scam while it is happening, such as a receiving account suddenly behaving like a funnel, a sender showing the hesitation and coached navigation of someone on the phone with a criminal, or a first-time payee that multiple banks flagged earlier in the week. When receiving banks can see sending-bank signals suggesting a manipulated

customer, and sending banks can see receiving-bank signals flagging a beneficiary as a likely mule, as an industry, we can stop more scams, more often. The industry even has a common language for that collaboration through the Federal Reserve's ScamClassifier model, which gives banks a shared taxonomy for the first time.

Some argue that because U.S. banks rarely reimburse scam losses, the business case for this investment remains weak. That argument no longer holds. Banks absorb the cost of scams every day through higher call center volume, repeat disputes, Consumer Financial Protection Bureau (CFPB) complaints, reputational damage, and the steady loss of customers after one of the worst financial experiences of their lives. Regulators and legislators also continue to examine liability for authorized push payment fraud, and the U.K. has already mandated reimbursement be shared between sending and receiving institutions. Whether the pressure comes from customers, competitors, or Washington, it is coming.

Banks that want to retain customers and protect them should treat real-time, behavior-based intelligence sharing under 314(b) as an operational requirement because it will soon become one.

When receiving banks can see sending-bank signals suggesting a manipulated customer, and sending banks can see receiving-bank signals flagging a beneficiary as a likely mule, as an industry, we can stop more scams, more often.

Account takeover: A growing threat

Account takeover (ATO) has become one of the fastest-growing fraud threats in the United States. The Financial Crimes Enforcement Network (FinCEN) now receives approximately 17,000 ATO-related Suspicious Activity Reports (SARs) each month, nearly three times the volume reported five years ago. BioCatch data also shows a 22% increase in reported ATO sessions across its U.S. customer base during the first half of 2026 compared with the same period in 2025.

Unlike traditional fraud, where criminals rely on compromised payment card details or social engineering tactics, ATO attacks focus on stealing user credentials such as usernames, passwords, and other authentication factors. Once a criminal gains access to an account, they can act as the legitimate account holder, giving them significantly greater flexibility to conduct fraudulent transactions, access sensitive information, and exploit additional financial products and services.

ATO remains particularly challenging for financial institutions to detect because many of the signals historically associated with legitimate account activity can be convincingly replicated by fraudsters. The growing use of automation tools and sophisticated attack infrastructure enables criminals to disguise their true locations, spoof device characteristics, and evade traditional detection methods, making compromised accounts increasingly difficult to distinguish from genuine customer activity.

Behavioral intelligence is among the most effective tools for identifying and preventing ATO, as it captures how users typically interact with their devices and accounts rather than relying on what information they have/know. Through these behavioral patterns, financial institutions can identify anomalies that suggest potential account compromise, even when fraudsters replicate device and location signals.

The impact of ATO extends well beyond immediate financial losses. According to a recent study by Equifax, 42% of customers who experience ATO subsequently close their account, highlighting both the significant retention challenges financial institutions face following account compromise and the importance of robust ATO detection and prevention controls that not only reduce fraud losses but also help preserve long-term customer relationships.

ATO by the numbers

Figures are based on aggregated, anonymized data from BioCatch's U.S. customer base and reflect trends observed between the start of the second half of 2025 and the end of the first half of 2026.



70%

ATO sessions occur after 5 p.m.



68%

of ATO attacks occur through mobile banking apps



12%

of sessions bypass biometric authentication, indicating use of enrolled devices

Case study

Remote access-enabled, cross-platform ATO

Case overview

This case study examines a multi-stage account takeover against a customer of a U.S. financial institution. The attack involves the deployment of a remote access trojan (RAT). The attacker gained recurrent access to a victim's device, allowing this fraudster to make unauthorized transactions across multiple geographic locations.

The remote access obtained via computer subsequently enabled a new mobile device to be registered on the customer's profile and a new account to be opened.

The multiple fraud-flagged sessions highlight BioCatch's ability to identify suspicious behavioral patterns across individual sessions, enabling real-time intervention to prevent attackers from extracting significant value from compromised accounts.

Social engineering in remote access

RAT-based ATO attacks represent a fast-growing fraud vector. With complete control over a victim's device, fraudsters can bypass traditional multi-factor authentication (MFA), security questions and behavioral biometrics. BioCatch's threat indicators specifically identified the RAT presence, demonstrating the critical need for device-level fraud detection.

Social Engineering represents a critical component of remote access cases. Rather than targeting technological vulnerabilities, fraudsters exploit human emotions and trust to get their victims to divulge confidential information and gain access to their device.

A common example is fraudsters pretending to be from technology companies such as Microsoft, Apple or Amazon and claiming they need to fix an urgent issue.

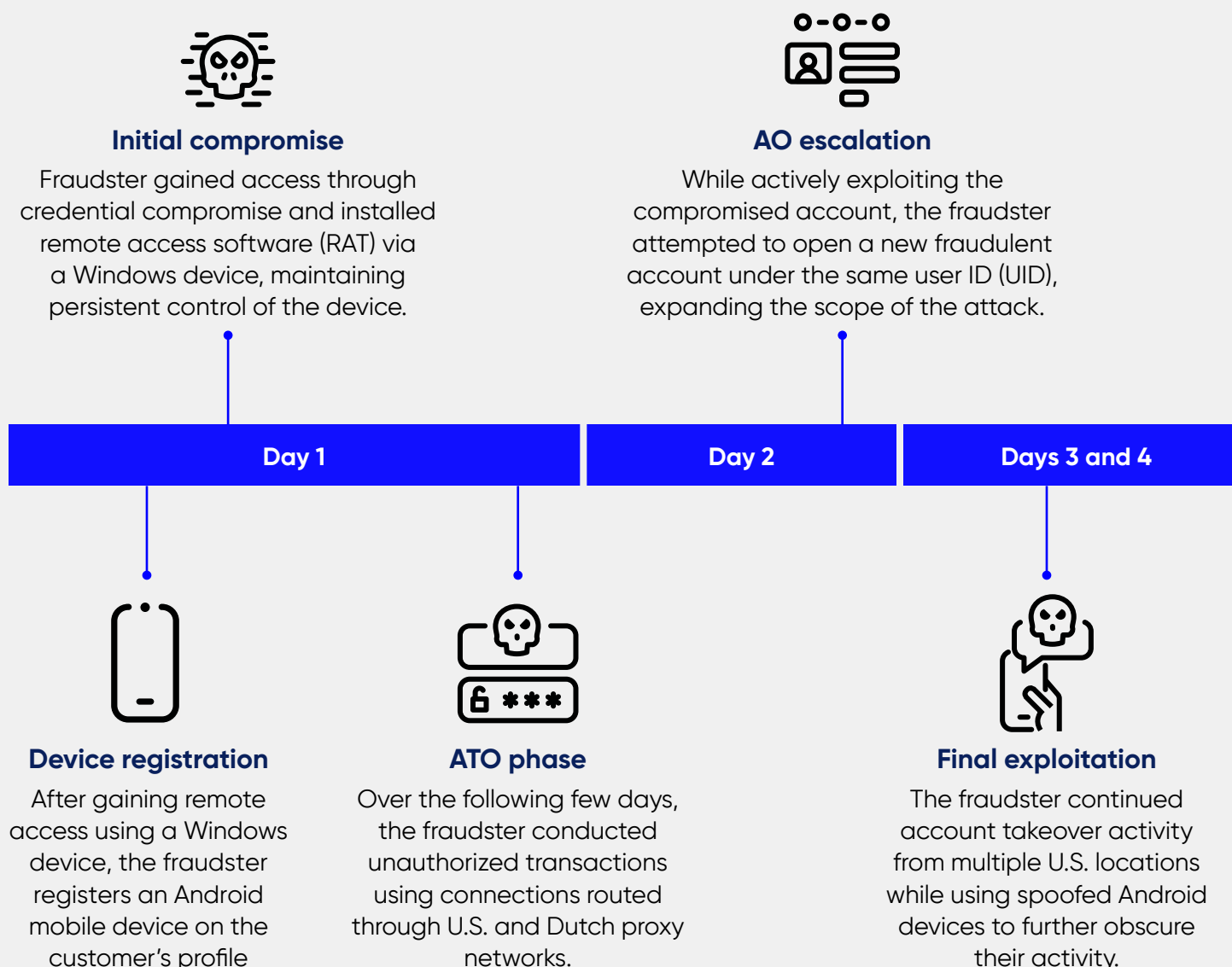
Fraud controls rely heavily on trusted device signals, however remote access can exploit this by hijacking the victim's own genuine device and turning a legitimate session into a potential attack vector.

Once remote access tools have been installed on a victims' device, the fraudster has full control over trusted endpoints, bypassing multi-factor authentication (MFA) protections. Without remote access, fraudsters would only have stolen credentials, which would be far less effective if MFA is enabled.

Case study

Remote access-enabled, cross-platform ATO

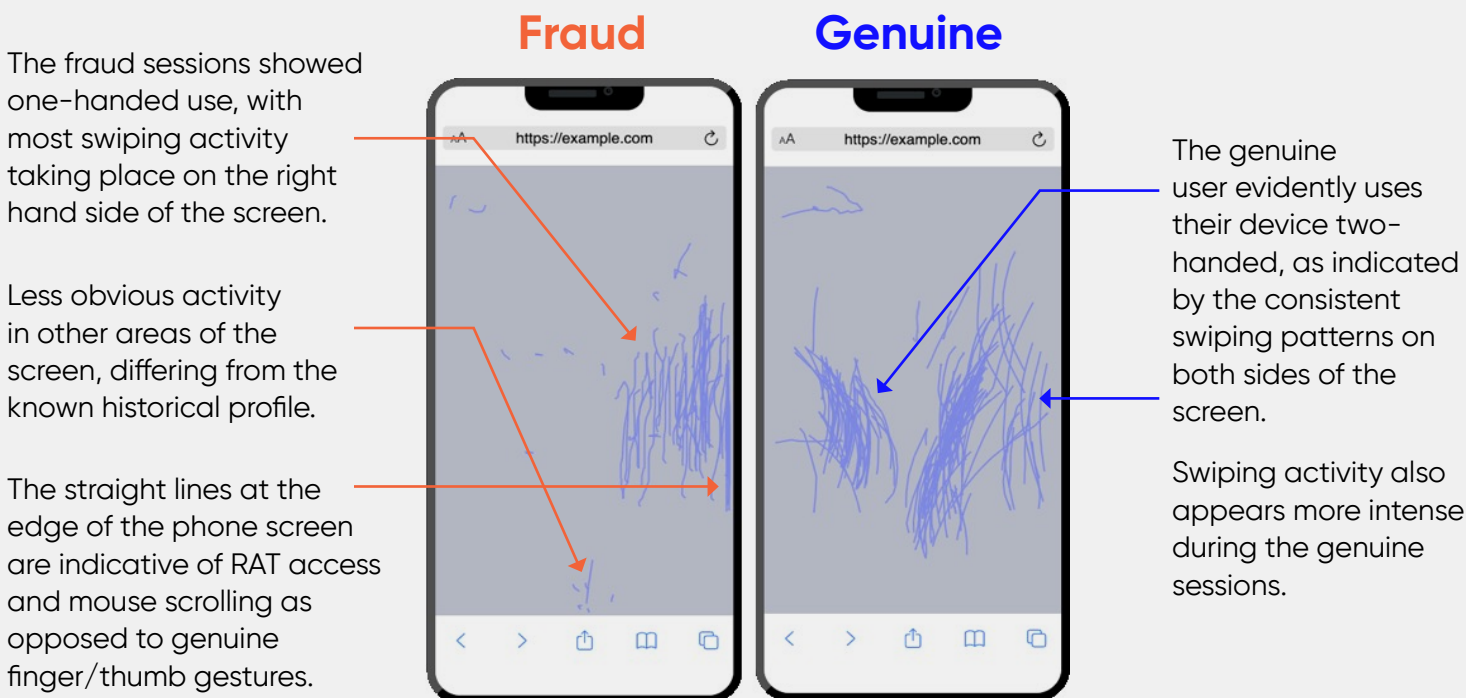
The attack unfolded through a series of deliberate stages, beginning with initial account compromise and progressing into sustained account exploitation. The following timeline illustrates how the fraudster expanded access, maintained control, and attempted to extend the attack across additional products.



Case study

Device behaviours

Having registered a new device on the victim's account, a comparison can be made between the fraud and genuine sessions, further lending credence to the belief that a different user is navigating the account.



The genuine customer has historically always used an iPhone. The new registered device, from which subsequent fraud sessions originated, is a Samsung.

In 2026, 0.12% of U.S. banking customers legitimately switched from an iPhone to an Android device, making this an unusual behavior.

Multiple other Android devices logged into the account via a mobile browser, including an Itel S23+, a model that is not available in the U.S. through standard retail channels.

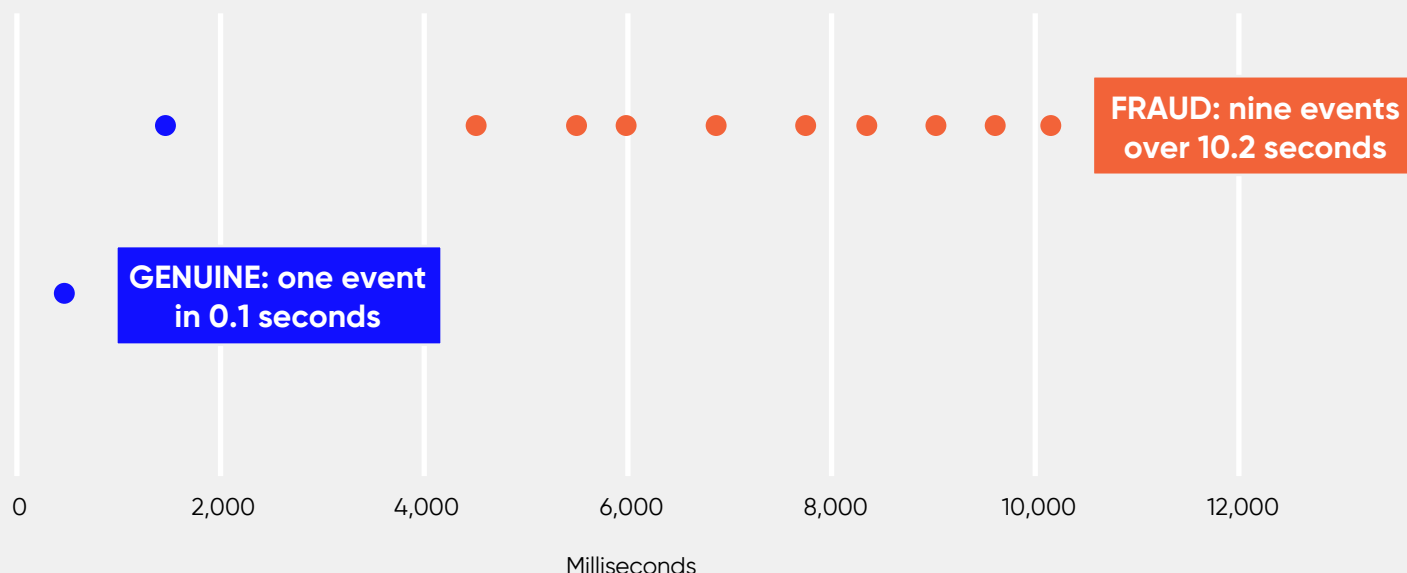
Typically, genuine users operate their accounts from 1-2 devices, however over the four-day period, eight distinct device IDs were present across the fraudulent sessions, switching between desktop and various mobiles.

Historically, the customer's device language has always been set to [en-US], consistent with their known geographical location. Some fraud sessions returned a language of [en-IN], indicating the device was configured with Indian English as the primary language setting.

Case study

Data input

Time to input password



In similar cases, customers enter passwords using a single touch event, consistent with autofill usage from physical biometric authentication. In contrast, fraud sessions showed manual password entry, with the nine-character password in the above example entered over a period of more than 10 seconds. This is due to fraudsters not having access to OTPs unless redirections or sim swaps are performed.

Apple's Face ID technology is known for its levels of security, and this behavioral deviation is unusual, forgoing the convenience of using biometrics in favor of manual input.

In the fraud sessions, there is a noticeable break in the typing between the first and second characters, suggesting the fraudster doesn't have the password memorized, and is reading it from another source.

Case study

Red flags



RAT detected

The presence of RAT activity on the customer's device indicated that the fraudster maintained persistent control beyond the banking application. This enabled the interception of authentication processes and the execution of transactions without the customer's knowledge.



Impossible travel patterns

The fraudster appeared across multiple locations in the U.S. and the Netherlands within a short timeframe, creating impossible travel patterns inconsistent with legitimate customer behavior. While this could be explained through the usage of a VPN, the genuine user had no previous sessions originating from the Netherlands.



New device, new account

The same UID was recognized as compromised by both our account opening (AO) and ATO solutions. After gaining control of the existing account, the fraudster registered a new mobile device for online banking and, shortly thereafter, opened a new account on the customer's profile. This account had no historic behavioral and transactional patterns associated with it and becomes the vehicle for fraudulent activity.

Conclusion

This case study shows how behavioral intelligence identified high-risk signals from the very early stages of this account takeover. RAT malware, proxy abuse, device switching, and geolocation anomalies were all detected, giving the bank several points at which to intervene and stop this attack before the account holder lost any money.

This highlights the importance of integrating real-time decision-making into fraud controls. BioCatch's detection capabilities identified the first fraudulent session and scored it at 1000 (the maximum risk score), meaning this activity could have been addressed within the first 24 hours of the fraudster gaining access to the account.

About BioCatch

BioCatch prevents fraud and financial crime by recognizing patterns in human behavior, continuously collecting more than 3,000 anonymized data points – keystroke and mouse activity, touch screen behavior, AI agent usage, jailbroken devices, and more – as people interact with their digital banking platforms. With these inputs, BioCatch's AI and machine-learning models continuously assess both user intent and any signs of coercion or manipulation throughout every millisecond of every digital banking session, allowing banks to distinguish the criminal from the legitimate in real time. Insights drawn from across the entire network of BioCatch institutions further amplify the power and accuracy of that real-time risk-scoring. As of the end of H1 2026, more than 370 financial institutions deploy BioCatch solutions, analyzing 19 billion user sessions per month and protecting more than 760 million users on more than 1.8 billion devices around the world from fraud and financial crime.

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